CHAPTER 6

# Banking

**"Commercial Banks are the institutions that make short term loans to business and in the process create Money."**

**- Culbertson**

## Learning Objectives

1. To know about the functions of central bank and commercial banks.
2. To understand the Non-Banking Financial Institutions and their functions.

## 6.1 Introduction

Finance is the life blood of all economic activities such as trade, commerce, agriculture and industry. A bank is generally understood as an institution which provides fundamental financial services such as accepting deposits and lending loans. Banking sector acts as the backbone of modern business world. The banking system significantly contributes for the development of any country. Due to the importance in the financial stability of a country, banks are highly regulated in most countries.

## 6.2 Historical Development

The Ricks Banks of Sweden, which had sprung from a private bank established in 1656 is the oldest central bank in the world. It acquired the sole right of note issue in 1897. But the fundamentals of the art of banking have been developed by the Bank of England (1864) as the first bank of issues.

A large number of central banks were established between 1921 and 1954 in compliance with the resolution passed by the International Finance Conference held at Brussels in 1920. The South African